

# Dongkeun Choi

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**Placement Coordinator:** Andrew Flores

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## Education

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### University of California San Diego

Ph.D. Candidate in Economics

2027 (expected)

### Korea University

M.A. in Economics

2021

B.A. in Economics and B.S. in Financial Engineering

2019

## Research Interests

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Macroeconomics, Monetary Economics, Banking and Financial Intermediation.

## References

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### James D. Hamilton (*Chair*)

Professor  
Department of Economics, UC San Diego  
[jhamilton@ucsd.edu](mailto:jhamilton@ucsd.edu)

### Juan Herreño

Assistant Professor  
Department of Economics, UC San Diego  
[jherrenolopera@ucsd.edu](mailto:jherrenolopera@ucsd.edu)

### Munseob Lee

Associate Professor  
School of Global Policy and Strategy, UC San Diego  
[munseobleee@ucsd.edu](mailto:munseobleee@ucsd.edu)

### Johannes Wieland

Professor  
Department of Economics  
[jfwieland@ucsd.edu](mailto:jfwieland@ucsd.edu)

## Job Market Paper

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### Unintended Risks of Bank Capital Regulation [PDF]

**Abstract.** I show that tighter capital regulation can increase aggregate credit risk through heterogeneous lending behavior between banks and nonbank financial intermediaries (NBFIs). Using loan-level mortgage data, I document that NBFIs approve observably similar applicants at higher rates than banks and that NBFI loans have higher default rates. I show that tighter regulation contributed to a shift in credit toward riskier borrowers with higher default rates. I develop a general equilibrium model in which banks and NBFIs choose loan rates and underwriting standards. Tighter regulation raises bank loan rates and tightens underwriting standards, shifting applicants toward NBFIs. NBFIs' looser underwriting standards extend credit to applicants who would otherwise remain unfunded, increasing the aggregate credit risk. The model further shows that tighter regulation can amplify adverse financial shocks.

## Working Papers

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### Why Is Monetary Policy Less Effective at Low Interest Rates: The Role of Banking Sector [\[PDF\]](#)

**Abstract.** This paper investigates the effectiveness of monetary policy in a low-interest-rate environment, focusing on how loan and deposit rates respond to changes in nominal interest rates. Using U.S. bank data, I show that deposit rates reach zero when the policy rate falls to about 2 percent, with both deposit and loan rates becoming unresponsive to further cuts below the threshold. Net interest margins do not shrink, preserving banks' equity and lending capacity to additional policy rate cut. Monetary transmission thus weakens well above the zero lower bound, muting the stimulus to loan demand rather than eroding banks' lending capacity. Stabilizing demand-driven recessions near this threshold requires earlier fiscal coordination.

### Equipment, Structures, and the Limits of Investment-Specific Technological Change [\[PDF\]](#) (with Munseob Lee)

**Abstract.** Models of investment-specific technological change treat the falling relative price of equipment as a source of growth. The relative price of structures has moved the other way. It has risen in rich countries, and in the United States it is 80 percent higher than in 1970. We document this divergence across countries, show that the U.S. rise covers nearly every type of structure, and attribute about half of the post-1996 rise in construction prices to falling construction productivity. To quantify its cost, we build an endogenous growth model in which equipment and structures enter both final production and R&D. In the U.S. calibration, rising structures prices subtract 0.63 percentage points a year from per-capita growth, half of the 1.24 points that cheaper equipment adds, with 30 percent of the drag operating through R&D. A nested CES extension finds that structures substitute for unskilled labor and that the two capital-labor bundles substitute for each other. These margins lower the drag to about 0.4 points. Removing the substitution between structures and unskilled labor raises the model's 1963–2019 rise in the skill premium by 30 percent.

## Work in Progress

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### Redistribution through the Secondary Mortgage Market

## Research Experience

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|--------------------------------------------------------|-------------|
| Dissertation Fellow, Federal Reserve Board             | Summer 2026 |
| Research Assistant, Prof. Munseob Lee, UC San Diego    | 2022–2023   |
| Research Assistant, Prof. Jinill Kim, Korea University | 2020–2021   |

## Presentations

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2026     Federal Reserve Board, Midwest Macro Meeting (Milwaukee), FIRS (Miami), UCSD

## Teaching Experience

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### UC San Diego

|                                                   |           |
|---------------------------------------------------|-----------|
| Long Run Macroeconomics (UG), Teaching Assistant  | 2022      |
| Short Run Macroeconomics (UG), Teaching Assistant | 2023–2026 |
| International Finance (UG), Teaching Assistant    | 2023–2024 |
| Macroeconomics B (G), Teaching Assistant          | 2023      |
| Macroeconomics C (G), Teaching Assistant          | 2023      |

### Korea University

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| Intermediate Macroeconomics (UG), Teaching Assistant | 2020–2021 |
| Macroeconomics I & II (G), Teaching Assistant        | 2020–2021 |

## Fellowships, Grants, and Awards

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|----------------------------------------------------------------|-------------|
| FIRS PhD Student Travel Grant                                  | 2026        |
| Travel and Research Grant, UC San Diego                        | 2026        |
| Clive Granger Research Fellowship, UC San Diego                | 2025        |
| Research Fellowships, Prof. James D. Hamilton, UC San Diego    | 2024, 2025  |
| Summer Research Fellowships, UC San Diego                      | 2022, 2023  |
| Regent Fellowship, UC San Diego                                | 2021–2022   |
| Research Grant, Korea Foundation of Abroad Studies (KFAS)      | 2021–2026   |
| Brain Korea 21+ Graduate Student Scholarship, Korea University | 2019–2020   |
| President's List, Korea University                             | Spring 2017 |

## Additional Information

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| <b>Programming</b> | Matlab, Dynare, Stata, Python     |
| <b>Languages</b>   | English (fluent), Korean (native) |
| <b>Citizenship</b> | South Korea (F-1 Visa)            |